

Michigan Independent Contractors

Associate brokers and salespersons can be associated with a real estate broker as either an employee or an independent contractor. Being associated as an independent contractor doesn't remove a broker's duty to supervise the licensee. To be associated as an independent contractor:

- A written agreement must be in place between the broker and associated licensee that states the licensee isn't an employee for federal or state income tax purposes.
- At least 75% of the annual compensation paid by the broker to the licensee must be from commissions related to real estate transactions.